



Glycerine (Asia-Pacific)

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Please click [here](#) for full details on the criteria ICIS uses in making these price assessments.

OVERVIEW

- **Demand remains soft, buyers stay on the sidelines**
- **Buy-sell gap wide, smaller parcels traded mostly**
- **Ample supplies from biodiesel output in Indonesia**

Asia's glycerine market remained under downward price pressure from persistently soft demand and ample supplies.

Buyers were mostly covered for November and early December and had limited spot appetite for fresh shipments.

There were enquiries for fresh lots, but deals were scant, given the wide buy-sell price gap.

Trades, if any, were mostly confined to smaller parcels on a need-to-basis.

Although the downstream epichlorohydrin (ECH) domestic market in China had firmed, ample supplies from higher biodiesel output in Indonesia continued to exert downward price pressure.

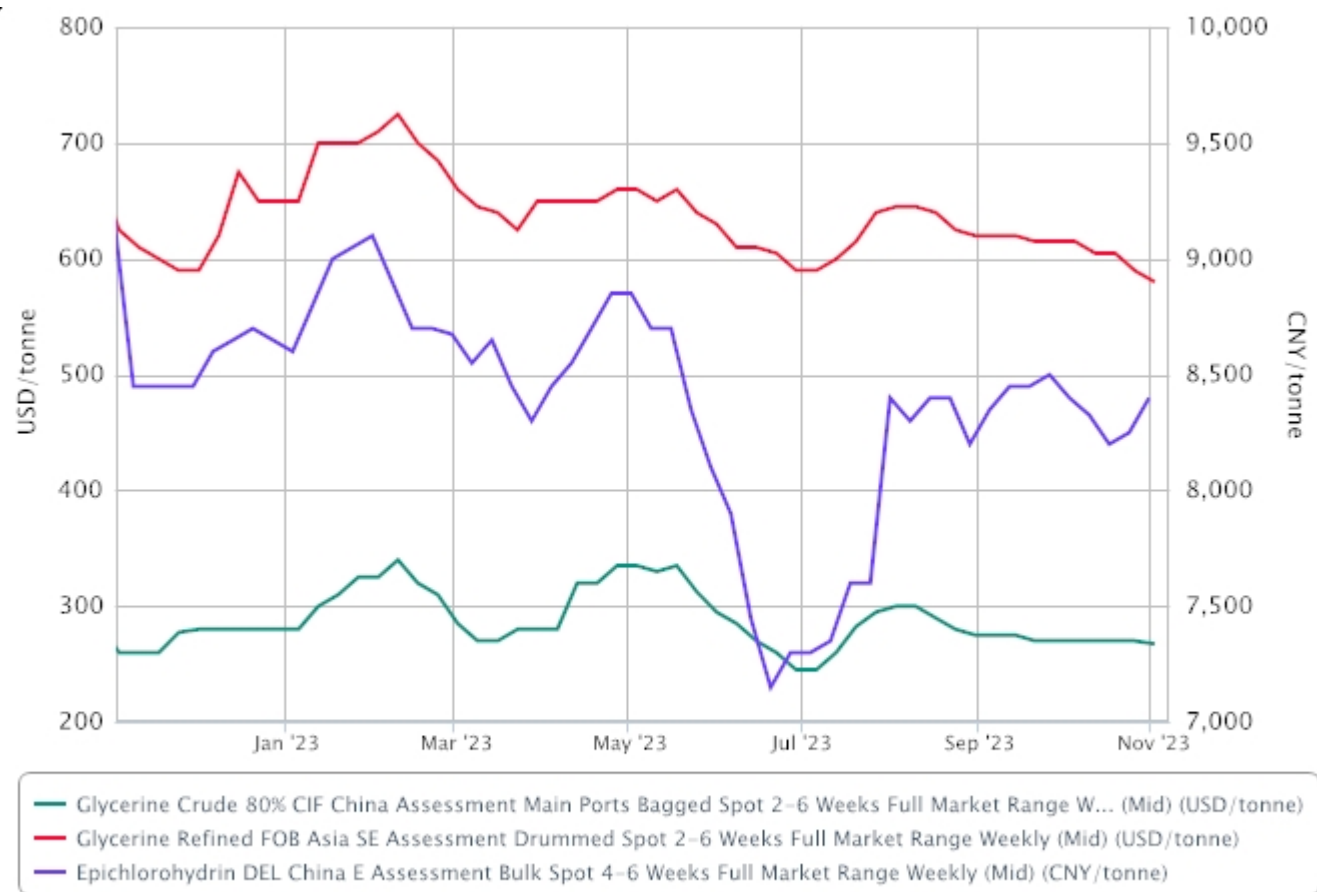
Glycerine is a by-product of biodiesel.

Higher biodiesel output in Indonesia due to its B35 biodiesel blending mandate had resulted in increased glycerine supplies in the spot market.

B35 biodiesel blending mandate requires 35% of gasoline to be blended with biodiesel. Indonesia is expected to increase its biodiesel blending mandate to B40 next year.

Meanwhile, China's two main manufacturing purchasing managers indices (PMIs) fell to 49.5 in October.

October's manufacturing activity in China is typically weak due to the week-long public holiday in early October.



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OUTLOOK

- **Downstream ECH market likely stable near term**
- **Spot interest only likely to pick up in December on restocking**

- Chinese demand to remain tepid near term on sufficient stocks

PRICES

SPOT PRICES

			Price Range		Four Weeks Ago	US CTS/lb
Glycerine Crude 80%						
CIF China Main Ports Bagged	USD/tonne	n/c	265-270	-5	260-280	12.02-12.25
Glycerine Refined						
CFR NE Asia Drummed	USD/tonne	-10	560-640	-10	620-650	25.40-29.03
CFR China Drummed	USD/tonne	-10	560-640	-10	620-650	25.40-29.03
FOB SE Asia Drummed	USD/tonne	-10	540-620	-10	600-630	24.49-28.12

Refined glycerine

Spot prices were assessed \$10/tonne down to reflect the current discussions and trades.

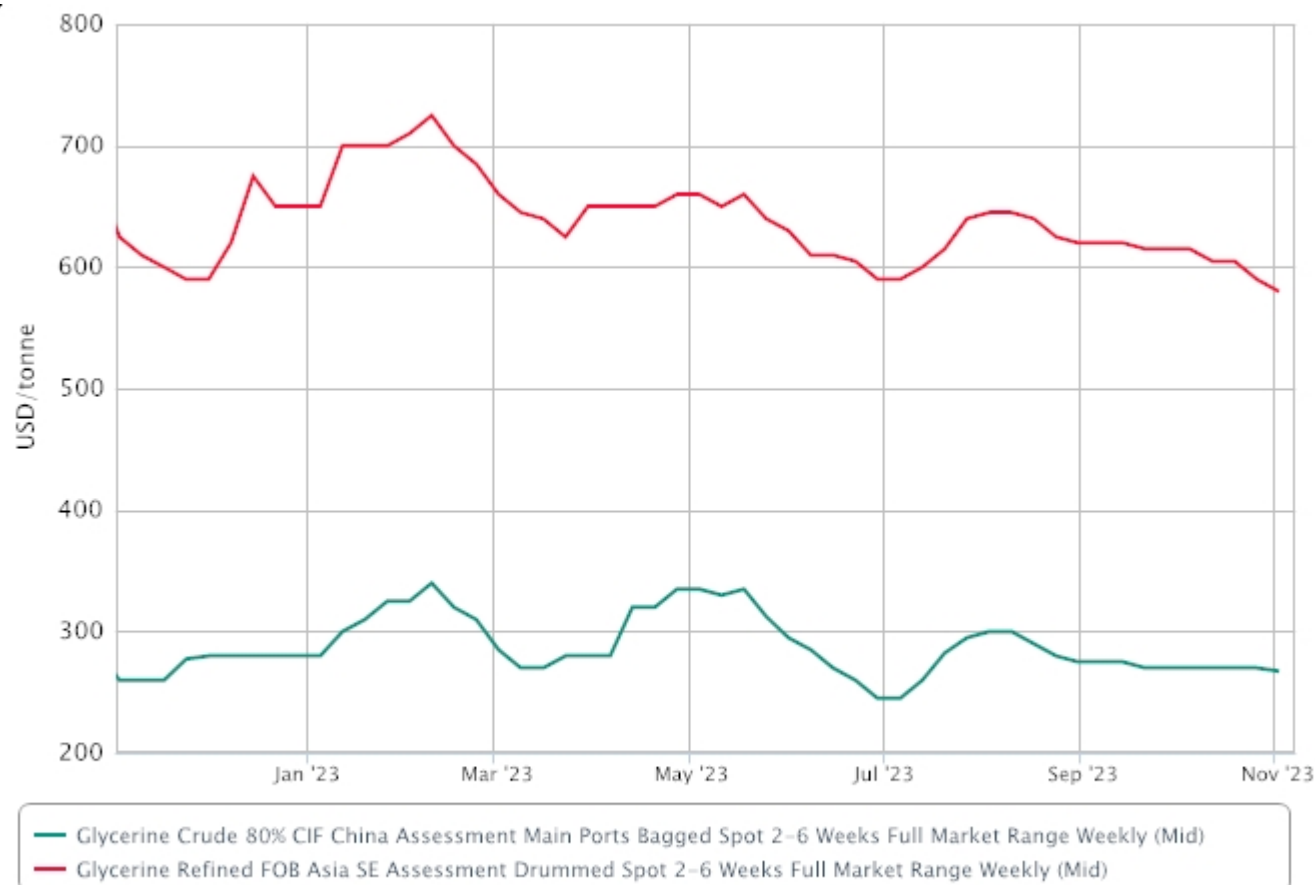
Buy-sell indications were far apart at \$540-620/tonne FOB SE Asia for drummed parcels.

Buying interest had been muted, with buyers continually seeking lower prices, given ample supplies and bearish sentiment.

Chinese spot interest had largely waned, having previously imported large volumes to cover their November and early December requirements. Inventories held by Chinese buyers remained high.

Some smaller drummed parcels were heard discussed at \$620/tonne FOB SE Asia for December shipments to other countries.

Although some suppliers had earlier sold out their December stocks, suppliers with stocks-in-hand were under pressure to unload their stocks ahead of the fiscal year-end.



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Crude glycerine

Spot prices were assessed as flat-to-soft to reflect current discussions and trades for flexibag shipments from Brazil.

Market activities had been subdued, with most of the buyers having largely covered their immediate requirements and having limited spot appetite.

Product from Brazil or Latin America is typically priced lower than product from southeast Asia because it is subject to a 6% import duty and is of a lower 80% purity level.

Furthermore, it takes 5-8 weeks to ship product from Brazil to China. Crude glycerine from southeast Asia is typically at a higher 85% purity level.

Its duty-free status and quick delivery time of about a week allows it to command a premium.

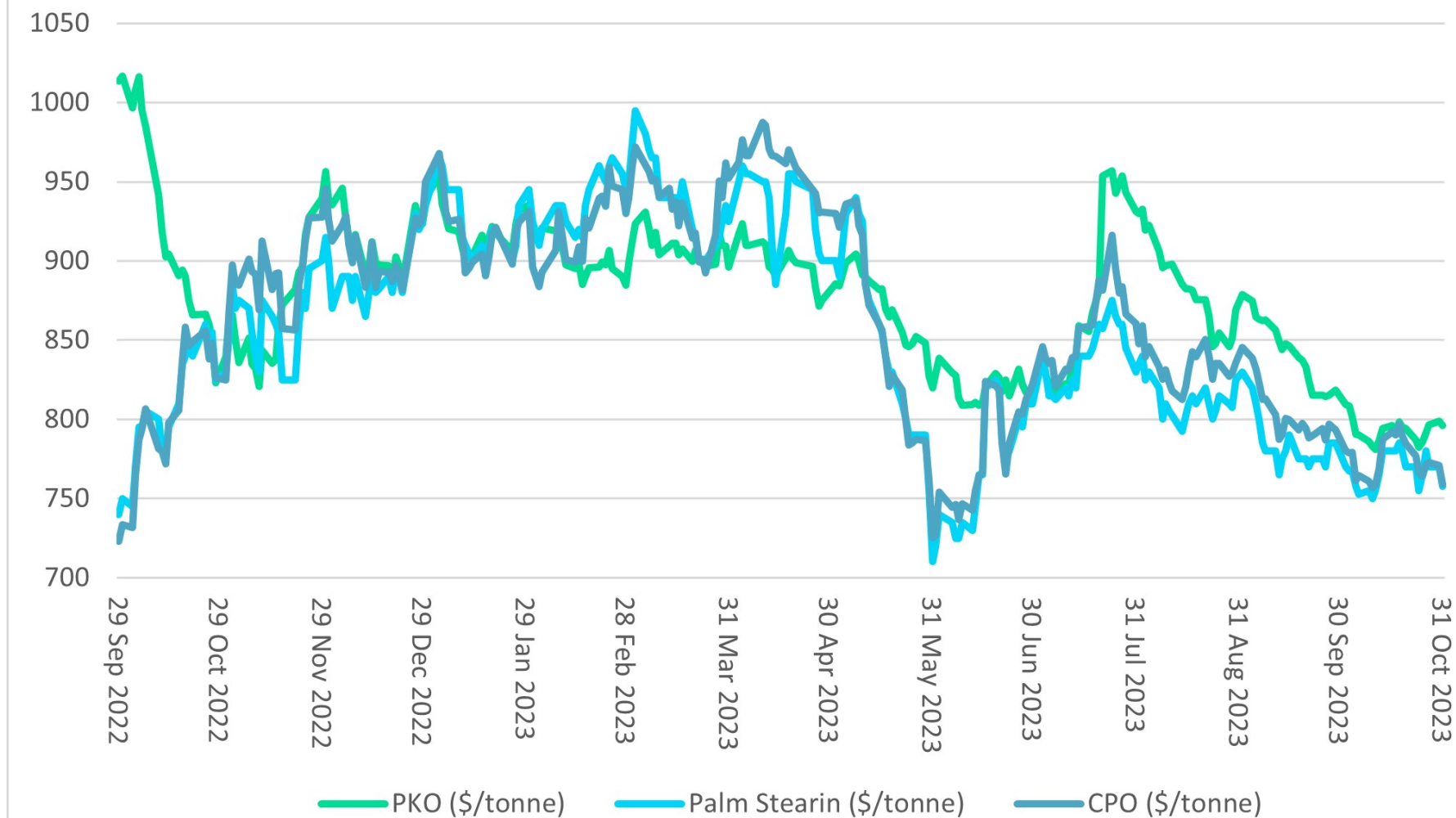
Product from southeast Asia is also not subject to import duty because of the free trade agreement (FTA) between the Association of Southeast Asian Nations (ASEAN) and China.

Discussions and trades of southeast Asia-origin product sold into China were not taken into consideration in the assessment.

Spot product from southeast Asia is typically more expensive due to its shorter delivery time frame and higher purity level.

UPSTREAM

CPO vs PKO vs Palm Stearin Prices



Product	Delivery	31-Oct	24-Oct
CPO	DEL, south Malaysia (M\$)	3,610.00	3,660.00

PKO	DEL, south Malaysia (\$)	795.97	782.42
Palm Olein	FOB, Malaysia (\$)	800.00	800.00
Palm Stearin	FOB, Malaysia (\$)	757.50	755.00
PFAD	FOB, Malaysia (\$)	740.00	740.00
All prices are on a per tonne basis.			
Source: Matthes & Porton			

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